

MERIDIAN FAMILY OFFICE — CHIEF INVESTMENT OFFICE Quarterly Market Outlook · Q3 2026

Classification: Confidential · House view for client discussion

SUMMARY VIEW

- We remain **moderately constructive** on multi-asset portfolios but expect elevated volatility through the second half of 2026. Our stance is to stay invested to policy while holding a larger-than-usual liquidity buffer to fund opportunistic additions on weakness.
- US large-cap equity valuations are **stretched** (S&P 500 forward P/E in the top decile of its 20-year range). We would not chase the index here; we prefer to **scale in on pullbacks** rather than deploy in a single tranche.
- We see **US rates near their cycle peak**. The market prices modest cuts into 2027, but sticky services inflation keeps the risk two-sided. Medium-duration high-quality bonds offer an attractive carry-to-risk trade-off; we favour a laddered / tranche-based build rather than a single duration bet.
- **Gold** retains its role as a portfolio diversifier and real-rate hedge. We are comfortable with a strategic 5–10% allocation and would add on dips toward the USD 4,000/oz area.

ASSET-CLASS POSITIONING

Equities — NEUTRAL, quality bias. Prefer profitable, cash-generative franchises and equal-weight exposures over cap-weighted concentration. For clients targeting US beta (Nasdaq-100, S&P 500), we suggest defining a pullback threshold in advance (e.g. 15–20% off the recent high) and adding in steps, keeping undeployed cash in a USD money-market fund.

Fixed income — MODEST OVERWEIGHT duration, up-in-quality. A 4–6 year effective-duration sleeve in US Treasuries / high-grade credit is our base case. Given the two-sided rate risk, build the position in tranches over 4–8 weeks rather than at once. Emphasise low total expense and daily liquidity.

Commodities / Gold — STRATEGIC HOLD, add on weakness. 5–10% gold via a physically-backed, low-fee ETF. Prefer accumulation below USD 4,000/oz; avoid chasing strength.

Cash / liquidity — ABOVE NEUTRAL. A USD money-market fund is the preferred parking vehicle for undeployed equity allocations and near-term liquidity needs.

FEES & IMPLEMENTATION

Across all sleeves we prioritise **low total expense ratios and deep secondary liquidity**. For core beta and duration, broad, large-AUM ETFs typically deliver the best cost/liquidity profile; avoid complex or capacity-constrained wrappers unless there is a clear, documented reason.

RISKS TO THE VIEW

Re-acceleration of inflation (hawkish repricing), a growth scare that pressures credit, and event-driven equity drawdowns. Each argues for the same discipline: pre-committed thresholds, tranche-based execution, and a healthy cash buffer.

— Meridian CIO. For discussion only; not investment advice. All figures illustrative.